

say things like: "This one is ready for a breakout to the upside," or "That one is falling below its moving average," or "This head-and-shoulders pattern is a sure sign of disaster."

Without even knowing the name of a company or what it makes, a Chartist can look at a chart and tell you if the stock is in a holding pattern or an accumulation, whether it has made a double top, whether it is being distributed or consolidated, whether it has bottomed out. After talking to various practitioners, I learned there are four stages in a stock cycle: accumulation, markup, distribution (smart money sells to the dumb), and panic liquidation (dumb money gets out at a loss). Give a Chartist any stock chart, and he'll tell in an instant what stage a stock has reached. There are even charts within charts that show when the underlying trend is the reverse of the obvious. This is called "divergence," for which Chartists are always on the lookout.

Reading charts was an ancient practice, and chart-reading for investment purposes is at least two centuries old, although nobody knows who started it. The charting of stocks was a popular practice in America as early as 1840, and stock-chart publishing was a mature industry long before other market research existed. Back when Wall Street was controlled by a few sneaky tycoons—Daniel Drew and Cornelius Vanderbilt, among others—the average investor relied on charts to figure out which stocks were being driven up or down by manipulators.

Now that we've replaced the few sneaky tycoons with "market forces" to explain the ups and downs of Wall Street, charting is more popular than ever. There are charts in every magazine and newspaper, more charts are shown on TV, and every home computer can make its own charts. Lately, there's been a steady gain in Chartist converts, as well as in other categories of Technicians who study investor sentiment, daily trading volume, the ratio of advancing stocks to declining stocks, and other clues.

Among the numerous Chartists and other Technicians billeted at the conference were several celebrities, including Stan Weinstein and especially Robert Prechter, Jr., whom I cornered at poolside. Mr. Prechter was in his early thirties, but a wiggly line had yet to appear on his face. In fact, he looked angelic, and by all reports from his many friends and admirers, he's a delightful character as